

bedroom space, but it could be a sneaky addition that's about to become your headache.

Title Check

Because “title” is the most vague and confusing thing you will encounter, let's go over the basics one more time. Title is an owner's legal interest in the home. During closing, there will be a title transfer in which you are granted ownership of the property. Title insurance protects both you and your lender from any defects in the title, which could arise if there is anything that gives another party a claim to the property.

Your title commitment—basically, a breakdown of your title insurance policy—will be sent within ten days of going under contract. You most likely have a deadline for receiving this and canceling if you don't like what you see.

Title is massively complex, and each property is different. We're not going to pretend to understand all the intricacies of title insurance. The title company will assign a representative to handle your file, and this is the person you should ask all your questions about the title policy.

Your title insurance commitment will list what your title policy will not cover. There are preprinted general exceptions that are not covered across the board, like water rights, Native American treaty rights, and taxes that are not yet payable. You should read this preprinted section, but that's not what's most important.

You're more concerned with the special exceptions. These are specific to the property you are purchasing. Most common are utility easements, taxes that have been assessed, and HOA CCRs. Read this section carefully. Much of it will make sense, but some exceptions can be very confusing. If there's anything you don't understand, you need to call the title representative and ask them to explain.

Genuine title problems can be a huge legal headache, and they take a long, long time to rectify. This is a very important part of your due diligence—you should understand exactly what is and is not being insured before you buy the home.